

SRAD pitch deck

PITCH — SRAD — VERDICT

ADJUDICATED 2026-08-07 — WATCH, no position: the business is priced about fairly, but the specific reason we got interested was disproven, so we do not buy until the November margin test passes.

Sportradar Group AG (Nasdaq: SRAD) · \$12.845 last (2026-08-21, IBKR) · 52-week range \$11.55–\$32.22 · 60% below the high, 11% above the low · Held: nothing. Orders: none.

What we believe

Sportradar sells sports data and betting technology. It buys the rights to leagues' live data (MLB, the German soccer league, NBA, NHL, ATP, UTR) and resells feeds, odds and products to roughly 800 bookmakers worldwide, plus — new this year — to prediction-market exchanges.

Three things we believe, in descending order of confidence:

- 1. The company gets paid whether or not gamblers win, and largely whether or not they bet more.** It is paid rights fees and product fees, not a cut of anyone's betting profits. The one line that *should* move with betting volume — Managed Betting Services — was flat in the first half (–1%), exactly as that theory predicts. Meanwhile it signed both Kalshi and Polymarket, so if betting migrates from bookmakers to exchanges, it sells the same data to the new buyer. That insulation is real and it is not obvious from the outside.
- 2. The price is fair, not cheap.** On the most honest bear-side arithmetic our own review could construct, the company trades at about 11 times this year's cash earnings power; on the conventional treatment, about 8.5 times. For a business growing revenue 19–21% at constant currency, that range is fair to modestly cheap. It is not a bargain.
- 3. The reason we opened this file was wrong.** We flagged SRAD as “beat and raise, net cash, 8× earnings.” All three were false or badly incomplete. That does not make the stock a sell. It makes our claimed edge nonexistent.

Net belief: a decent business at a fair price with a live, dated risk of a second guidance cut in November, and an unresolved integrity cloud we cannot settle from the outside.

What the market believes

The stock is down about 47% year-to-date and 60% from its high. The market believes:

- The margin promise broke.** On 3 August the company cut its full-year profit guidance from €390–400M to €360–368M and cut its promised margin improvement from roughly 200–225

basis points to 70–100. That was four weeks after management reiterated the higher number. ([Q2 release, SEC](#))

- **Even the cut number is back-end loaded.** The first half delivered a 19.6% margin. The cut guidance still requires 27.4–27.9% in the second half. Essentially all of the year’s promised improvement now sits in the last two quarters, after one cut already happened. The market is pricing a meaningful chance of a second cut.
- **The company may be earning a chunk of its revenue from illegal gambling.** Two short reports landed on 22 April 2026 — Muddy Waters (123 pages, undercover sting, 15 employee interviews) and Callisto Research (43 pages, documentary). Between them they allege 20–40% of betting-technology revenue comes from operators without valid licences, and that the CEO has undisclosed interests in gambling operators. The company denies wrongdoing but, notably, defends serving offshore-licensed clients rather than denying it does.
- **There is now litigation.** A securities class action was filed in the Southern District of New York. The company’s own cash-flow guidance added a new carve-out for “non-routine litigation costs.”

The market is not being irrational here. It is repricing a business whose growth rate fell, whose margin promise broke, and whose customer base was publicly accused of being partly illegal.

Why we might have edge

Four candidates. Only two survive scrutiny, and neither is exclusive to us.

1. The balance sheet is genuinely misread — in both directions. Sportradar owes about €1.45 billion for sports rights, and that obligation sits inside “trade payables,” not “debt.” It accrues interest — €80.6M last year, 93% of all the company’s finance costs. So the press release’s “no debt outstanding” is technically true and economically thin, and every automated screen that computes net debt reports the company as sitting on €190M of net cash. That is exactly how we got to “8× earnings.”

But the mirror error is bigger. If you add that €1.45BN to the company’s value, you must also add back the €348M of annual amortization of the asset it bought — because the company, unusually, already charges that full cost against its headline profit number. Do the adjustment on one side only and you get 12–16×. Do it on both sides consistently and you get **6.4×** — cheaper than the number it was meant to destroy. The defensible range is 6.4× to 11.1×.

2. The comparison everyone uses is backwards. Callisto’s headline was “SRAD 14.6× versus Genius Sports 7.2×.” Genius Sports accounts for the identical economics as executory contracts, so its ~\$1.51BN of rights obligations sit entirely off its balance sheet, invisible to screens ([GENI 10-K, SEC](#)). Genius also adds back the equity-paid slice of its rights cost to its adjusted profit; Sportradar deliberately does not. Applying the short-seller’s own rule to Genius adds roughly nine turns to *its* multiple. Sportradar is being penalised for the more transparent presentation.

3. There is an external test nobody ran. S&P upgraded Sportradar to BB on 26 November 2025, with a downgrade trigger at adjusted debt above 3× earnings ([S&P](#)). Include the rights payables and

leverage is $\sim 3.1\times$ net — past the downgrade trigger at the exact moment of an upgrade. S&P's own published criteria explain why: obligations for goods not yet received are executory, and trade payables are trade credit, not debt. Separately, on 30 April 2026 — eight days after the fraud allegations were published — the company's secured lenders *increased* the revolving facility from €220M to €250M, extended it to 2031, and cut the fees ([6-K](#), [SEC](#)). Lenders with full diligence and a security package do not do that if they read €1.45BN of hidden interest-bearing leverage.

4. The “hidden leverage is compounding” story is factually wrong. The rights payables jumped 42% last year (€1,074M → €1,529M) and that was read as the renewal calendar squeezing the company. But the IMG ARENA acquisition brought €472.5M of trade payables with it — *more* than the entire year's increase. And in the first half of 2026 the non-current balance fell from €1,203.6M to €1,111.5M. It is amortising down, not compounding. Also worth stating: Sportradar did not pay for IMG ARENA. The seller paid Sportradar \$225M to take the rights book, making the accounting consideration negative €72.4M. Adding those obligations to enterprise value at 100% of face value prices at par something the counterparty valued below zero four months earlier.

Why it might be priced in

This is the section that decided the verdict.

- **Everything above is public.** A 123-page report and a 43-page report are in circulation. The filings are on EDGAR. Nothing we found required non-public information or an unusual data source. Our rule is that an edge is real only when it survives comparison to an external anchor looking at the same event — and here the external anchors (S&P, the secured lenders, the data vendors) already agree with the bull case. Our “hidden leverage is mis-scored” insight is not ours; it is the consensus institutional treatment. We were the ones who got it wrong first.
- **The drop is roughly what the cut justifies.** An 8% profit-guidance cut at the multiple we assumed takes about 7.5% off equity value. The stock fell about 15%. The residual is multiple compression, and part of that is legitimate — the underlying growth rate itself fell from 23–25% to 19–21%. That is a rational repricing with a modest confidence overlay, not a dislocation.
- **The grey-market question is unresolvable from outside, and unresolvable is not clean.** The company says up to 12%. Muddy Waters says 20–40%. Callisto says 30–40%. No outside party can settle it. What we *can* observe is that the company deleted its own only sizing statement of that exposure from the annual report in March 2026 — the risk factor reading “a significant amount of our revenue is indirectly derived from jurisdictions where we or our clients are not required to hold a license” appears in the 2022, 2023 and 2024 annual reports and appears **zero times** in the 2025 one. Then the April rebuttal invoked that disclosure in the present tense, inviting investors to read the annual report where “any investor can plainly see” it. That is a real divergence between what was said and what was filed, and it is not priced by anyone because almost nobody diffed the documents.
- **The second cut is a live, dated risk, not a tail.** Requiring 27.4–27.9% margin in the second half after delivering 19.6% in the first, with €10.7M of integration restructuring costs still running

in Q2 alone, is a stretch. Buying before that test is buying the guidance, not the price.

The adjudicated conclusion: the business is fairly priced and ownable in principle, but the specific advantage we claimed was affirmatively disproven, so there is no reason to be early. Watch, do not buy.

What we checked ourselves

Including — prominently — where our own two review benches got it wrong.

Claim	How checked	Found	Confirmed?
Ours: “FY26 guidance was raised”	Placed the Q1 and Q2 guidance tables side by side from the two 6-K filings	It was cut : profit guidance €390–400M → €360–368M, margin improvement more than halved. Four separate defences (perimeter, currency, basis change, level-vs-increment) were tested and all four failed	No — our error, and it was load-bearing
Ours: “net cash”	Pulled the capital structure from the annual report, Note 22	€62.9M of borrowings but €1.53BN of interest-bearing sports-rights payables sitting inside trade payables	No as stated — our error
Ours: “~8× forward earnings”	Recomputed at live price and live EUR/USD 1.1519	8.4× is <i>one</i> defensible frame, not the only one. Honest range 6.4×–11.1×	Partly — our error was stating it unqualified
Ours: the wedge — US revenue +9.9% vs US betting handle –3.9%	Blue bench re-pulled the handle figure independently	Handle was –0.7% , not –3.9%. The wedge as we framed it dies. (US revenue growth is genuinely organic — +17.3% in dollars — but that was not the claim we made)	No — our error on the input
Red bench: rights payables are debt ⇒ 12.4×–16.4×	Blue bench symmetry test against the company’s own non-IFRS definition	Double count at 12.4×, triple count at 16.4×. The company already charges the full €348M/yr rights amortization <i>inside</i> its headline profit number. Do it consistently and it’s 6.4×	No — red bench error, on the kill red called its strongest
Red bench: payables +42% = “the renewal calendar capitalising in real time”	Annual report Note 3, IMG ARENA purchase accounting	€472.5M of payables were assumed in the acquisition , exceeding the whole year’s €455.3M increase. Organic payables shrank	No — red bench error
Red bench: adjusted profit “excludes the full cost of sports rights”	Read the full paragraph rather than the sentence	The paragraph is about capitalized-vs-expensed comparability; the company explicitly <i>keeps</i> €270M of rights amortization in. Faulting an EBITDA measure for excluding interest criticises the acronym, not the company	No — red bench category error
Red bench: Q2’s accounting loss is an earnings-quality flag	Q2 release, stated on its face	A €63M swing in unrealised currency translation on dollar-denominated rights liabilities — non-cash, disclosed, and caused by the very obligations red was elsewhere adding to enterprise value. Booked twice	No — red bench error
Red bench: filed REJECT 8/10 and	Convened it anyway	Two of five kills overturned or refuted. Convening was correct	Process error worth remembering

Claim	How checked	Found	Confirmed?
advised not convening the defence			
Deleted grey-market risk factor	Full-text diff of the 2022/2023/2024 annual reports against the 2025 one	The quantified disclosure is gone; the strings “indirectly derived” and “a significant amount of our revenue” return zero hits in the 2025 filing	Yes
The April rebuttal cites the deleted disclosure	Red flagged it as a divergence; blue read the un-truncated rebuttal	Deletion is real; the divergence built on it is weaker than red argued but not nothing	Partly — red overstated
Securities class action exists	Red: “reported, not primary-confirmed.” Blue: <i>Smale v. Sportradar</i> , 1:26-cv-04112 (S.D.N.Y.)	Case identified, but neither bench read the docket . Corroborating trace: new short-seller risk factor and a new litigation carve-out in the cash-flow guidance	Partly
Callisto: “three US gambling regulators have commenced reviews”	Searched for any named regulator action through 2026-08-06	None found. No licence suspension or revocation. Q2 non-routine litigation costs actually <i>fell</i> (€0.79M vs €2.79M) — inconsistent with an active major regulatory defence	No — the short report’s claim is unverified
Muddy Waters’ own position	Their page 2	“Upon publication, we intend to begin covering a substantial majority – possibly all – of our short positions.” No price target	Yes — and it cuts for the long
Rating-agency treatment of rights payables	S&P’s rating on this issuer plus published criteria	S&P’s adjusted debt demonstrably excludes them; criteria call executory contracts and trade payables non-debt. Moody’s and Fitch adjustment lists contain no content/rights item	Yes
The Genius Sports comparison	Genius’s own commitments note	\$1,512.7M of economically identical obligations, entirely off balance sheet. The comparison inverts	Yes
Share count ~296M used in every multiple	Estimated from the buyback disclosures in the Q1/Q2 releases	The evidence pack’s audited quarterly data block came back empty , so no multiple in this deck was checked against audited filing values. Neither bench addressed the NBA agreement’s warrants for 3.00% of fully diluted Class A shares at \$0.01	No
Next earnings date 2026-11-04	Evidence pack	Derived from a data vendor, not from a company announcement	No
Red bench’s research budget	Red’s own limitations section	Web search was exhausted (200/200) before the session began; all work was done by direct fetch. Two open tape gaps went unsourced as a direct result	Yes — stated against itself, correctly

One more thing worth flagging, since nobody else will: our own rulebook says a company under an unresolved integrity cloud should not be labelled fairly-priced. The verdict labelled SRAD fairly-priced anyway, on the basis that the integrity allegations are unverifiable in both directions. That is a defensible call but it is a call, and it deserves to be revisited if the class action survives a motion to dismiss.

PROPOSED ENTRY BANDS

There is no entry. The verdict is WATCH with no position and no orders. The probe was declined pending two things: a decomposition of the Q2 earnings call transcript, and the Q3 margin test. What follows are the reopen conditions, reproduced exactly as adjudicated.

Reopen gates (verbatim):

- **Q3 2026-11-05:** implied H2 margin 27.4-27.9% delivered with NO third revision AND transcript decomposition shows IMG-absorption (not core decel) -> probe 1/4 activates
- **FY2026 20-F restores AND quantifies the deleted unlicensed-jurisdiction disclosure -> upgrade**

Sizing. The first gate authorises a quarter-size probe. Neither bench nominated a full starter size, and this deck does not invent one — the base size is to be set at the reopen, not now. Nothing is armed to fill in the meantime.

Price context, derived from the benches' own arithmetic — these are reference levels for the sensors below, not entry authorisations. All use the honest bear frame (11.1× on ~€276M of 2026 cash earnings, conventional enterprise value, ~296M share-equivalents, EUR/USD 1.1519):

Level	What it means
\$14.70	Above here the honest bear frame exceeds 13×. Even if the November gate passes, the probe is not worth taking above this — do not chase a good print
\$12.85 (current)	11.3× on the honest bear frame, 8.5× on the conventional one. Fair. This is why there is no urgency in either direction
\$11.55 (52-week low)	A break below means the market is pricing the second guidance cut <i>before</i> the print. Not a buy signal — it is a signal to re-open the file early, because the November gate would then be resolving against us
\$9.33	8× on the honest bear frame. A margin of safety that exists independent of whether the November margin test passes. If we get here without new adverse facts, the file reopens regardless of the gates

Exits and trims: none — there is nothing to exit.

Catalyst dates: Q3 results expected 2026-11-04 (vendor-derived, **not confirmed by any company announcement** — treat the date as approximate until a press release names it); the adjudicated Q3 test resolves 2026-11-05; the dated commitment closes 2026-11-30; the FY2026 annual report is expected around late March 2027, based on the FY2025 filing landing 2026-03-27.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 9.33 (deck-provisional: 8x on the honest bear frame (EUR276M FY26E cash earnings, conventional EV, ~296M share-equivalents, EU)
- filing watch: 6-K until 2027-02-16 (deck-provisional: Q3 results, any third guidance revision, and the non-current trade payables balance that settles the I)
- dated pack SRAD|2026-11-30: By 11-30: Q3 print shows cc rev growth $\geq 19\%$ (cut guide's own floor) AND no further guide cut AND securities class actions produce no amende
- dated pack SRAD|2026-11-05: SRAD Q3: HIT = implied H2 margin 27.4-27.9% delivered, no third guide revision, transcript shows IMG-absorption not core-decel. RESOLVE: pyt
- dated pack SRAD|2026-11-04: SRAD: Q3 2026 results expected — vendor-derived date, no company announcement confirms it (date confirmed=False)
- dated pack SRAD|2027-03-27: SRAD: FY2026 20-F expected (estimated from FY2025 20-F filed 2026-03-27) — the deleted risk-factor restoration gate (date confirmed=False)

What remains unverified

Stated plainly, because several of these are load-bearing.

1. **How much revenue comes from operators without valid licences.** Company: up to 12%. Muddy Waters: 20–40% of betting-technology revenue. Callisto: 30–40%. No outside party can settle this, and unverifiable does not mean clean — particularly since the company deleted its own only sizing statement of the exposure in March 2026.
2. **Whether any regulator has actually opened a review.** Callisto asserts three. We found none, named or confirmed. The company's own non-routine litigation costs fell year-on-year in Q2, which argues against an active major defence.
3. **The class action's substance.** Our two benches disagreed on whether it was even primary-confirmed, and neither read the docket. The case number is identified; nothing beyond that is verified.
4. **The Q2 earnings call transcript.** The verdict declined the probe *pending this specific work* — whether the growth slowdown is IMG ARENA absorption or genuine core deceleration. It has not been done. Until it is, the November gate cannot be evaluated even if the numbers come in.
5. **The CEO's related interests.** Callisto documents a contradiction between the company's 2022 statement about Carsten Koerl's role at Liga Stavok's operator and that operator's own audited 2021 accounts, which name him the ultimate beneficial owner exerting “not formal, but fundamental influence.” Also alleged: chairmanship of BetGames, which pays Sportradar \$100k/yr, and an undisclosed related party sharing customer data. The April rebuttal restates the original claim and is silent on the rest. Neither we nor any regulator or auditor has adjudicated this.
6. **The internal-controls weakness.** Disclosed and unremediated for roughly five years since the IPO. Consistent with the filing's own cross-references; we have no read on when or whether it closes.

7. **Our own share count.** Every multiple in this deck rests on ~296M share-equivalents estimated from press releases, because the audited quarterly data block in the evidence pack came back empty. The NBA agreement's warrants for 3.00% of fully diluted Class A shares at \$0.01 were never incorporated by either bench.
8. **The next earnings date.** 2026-11-04 comes from a data vendor. No company announcement confirms it. Every dated sensor above inherits that uncertainty.
9. **Two price gaps** on 2025-09-30 and 2026-03-25 with no identified cause. Search access was exhausted before the red bench began work; this is a research gap, not a finding.

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